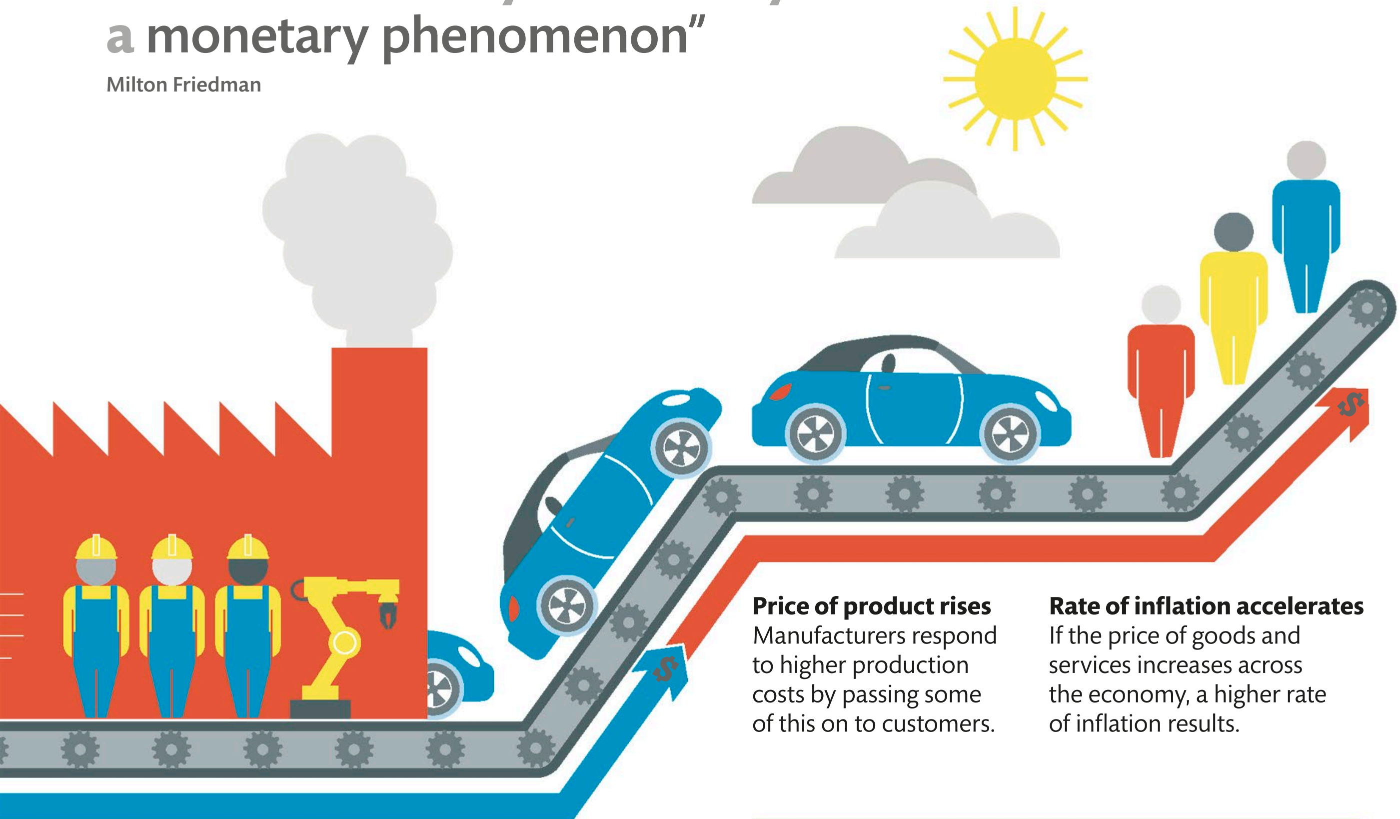
"Inflation is always and everywhere a monetary phenomenon"

Milton Friedman



Price of product rises
Manufacturers respond to higher production costs by passing some of this on to customers.

Rate of inflation accelerates
If the price of goods and services increases across the economy, a higher rate of inflation results.

Higher wages
The employees demand better pay, as it appears that prices are rising. The company agrees and their overall costs increase.

Indirect tax increase
The government raises the sales tax on the car. The company offsets this by passing the cost on to consumers.

NEED TO KNOW

- **Nominal values** Prices, wages, and other economic variables that are not adjusted in order to take account of inflation.
- **Real values** Figures adjusted for inflation and used when looking at economic variables over a period of time to determine whether increases are influenced by inflation or economic growth.

CAUSES OF COST-PUSH INFLATION

Cost-push inflation is driven by a rise in running costs for businesses. This can have a number of causes.

- **Costs of raw materials** Increases might be due to a scarcity resulting from a natural disaster, or an artificial limit imposed by a monopoly—for instance, the oil embargo in the 1970s, which tripled prices.
- **Labor costs** Strikes, low unemployment—meaning that companies need to pay more in order to attract skilled labor—strong unions, and staff expectation that general prices will rise can all result in the company's increasing wages and shifting the cost to customers.
- **Exchange rates** When a country's currency drops against a trading partner, more money is required to purchase goods from abroad, which can cause inflation.
- **Indirect taxes** A rise in excise taxes or other tax on a product might be passed on to the customer.